

A New Value Proposition for the AMA



Outline

- Current Challenges
 - AMA's Role in Healthcare Reform
 - Needs of the providers
 - Needs of the practitioners
 - Needs of the patients
 - AMA's Opportunity to enable Value
 - Positioning AMA at the forefront of Healthcare
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Current Challenges

- AMA is facing an eroding member base.
- Average membership age has been steadily increasing.
- Profits have declined significantly in 2008 (before the recession).
- Many practitioners no longer look to the AMA for innovation.
- AMA is competing with many other organizations for mindshare & wallet [e.g. ADA, ACC, HIMSS, ...].
- Healthcare has reached a precipice and everyone is looking to the government for answers (be happy what you wish for...).

AMA's Role in Healthcare Reform

- Still a relevant voice that should be heard by the government.
- The stakeholders are looking for answers:
 - Practitioners are worried about quality & income
 - Providers are worried about loss of control & income
 - Patients are worried about quality, loss of control, and income as well
- Opportunity for unifying leadership to provide guidance and direction for change (much of which will be disruptive).
- Opportunity to encourage collaboration and cooperation to solve the healthcare needs in the US and across the world.
- Opportunity to create a “system” of healthcare guided by consistent value-driven metrics (outcomes).

Needs of the Providers

- To get the pharmaceutical and device manufacturers, the insurers, and healthcare suppliers to become aligned, unified and collaborative by focusing on a consistent set of outcomes.
- To increase collaboration NOT competition.
- To understand how to identify, measure and deliver value throughout the healthcare value network.
- To move towards a shared revenue model where everyone can still win, but not at the expense of others (esp. the patients & the public).

Needs of the Practitioners

- To improve diagnostic capabilities in a cost effective manner.
- To improve clinical processes.
- To provide consistent levels of quality.
- To move beyond service, where they can deliver a positive experience.
- To be able to reliably measure value for their patients, for themselves as individual practitioners , and for their practices.

Needs of the Patients

- To have affordable healthcare.
- To have attainable healthcare.
- To have more accessible healthcare.
- To have consistent levels of quality (results).
- To deliver a total healthcare experience:
 - To ensure their functional outcomes met.
 - To ensure their emotional outcomes met.
- To have their outcomes met across the continuum of care (beyond the hospital, into clinics, and into the home).

AMA's Opportunity to enable Value

- Innovate their current business model to address the needs of the providers, practitioners, and the patients (3Ps).
- Use a disciplined process to capture and assess the needs of the 3Ps in a quantifiable manner.
- Provide a centralized repository of unbiased needs of the 3Ps to identify opportunities for measuring & creating value in US healthcare.
- License the information in this repository to the 3Ps to build a self-sustaining model for improving value delivery in healthcare
- Guide (and possibly drive) innovation in healthcare to create new value while reducing the overall costs for the 3Ps.

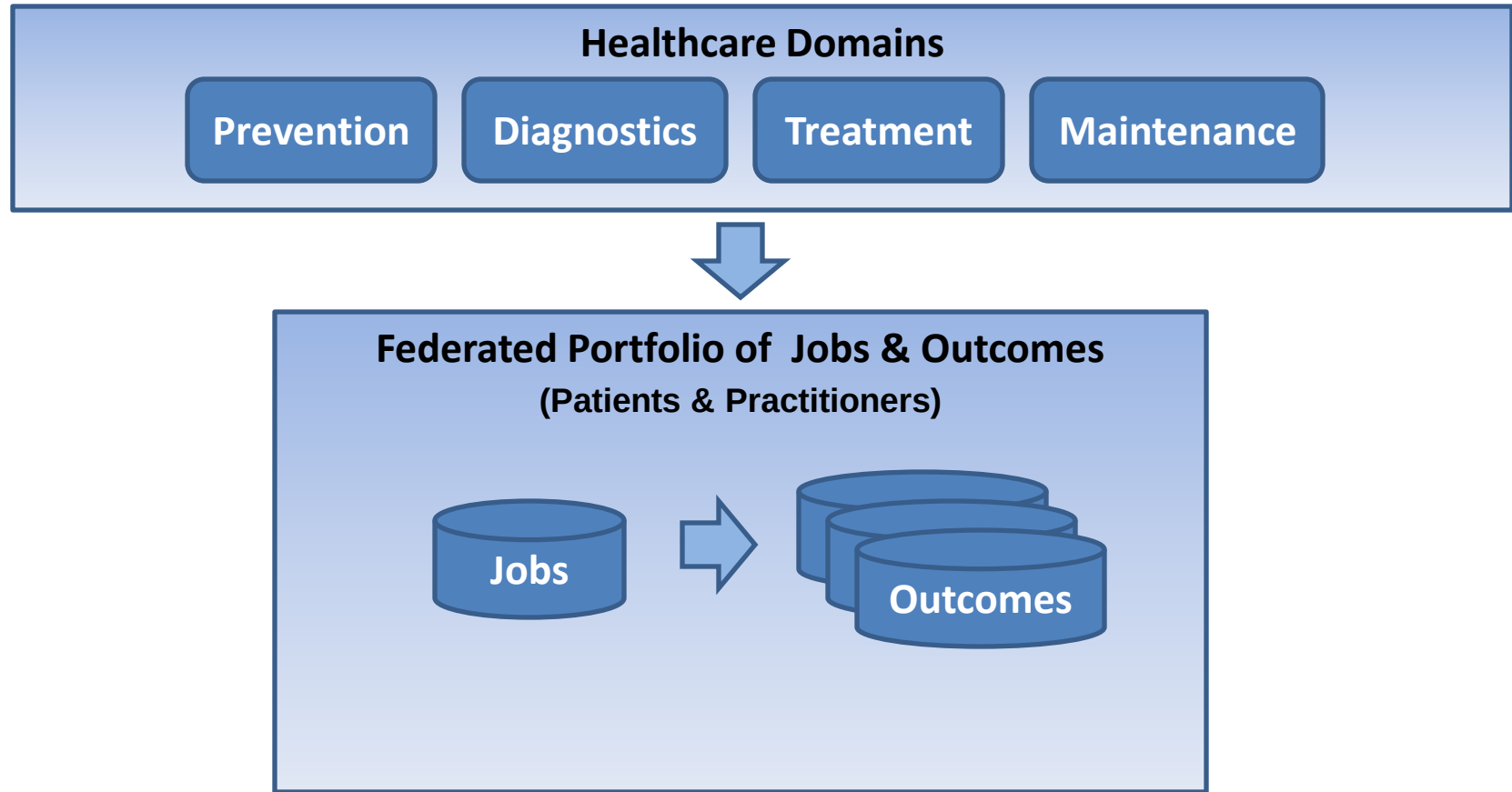
Positioning the AMA at the forefront of Healthcare

- The prescription for healthcare reform should come from within healthcare not lead by the government.
- The AMA can create a vision for a new healthcare system by forming a collaborative model with healthcare advocacy organizations, institutions, and practitioners.
- The AMA can provide the practitioners with a consistent set of benchmarks for measuring the value they deliver to patients.
- The AMA can drive open innovation amongst the providers to create a more efficient process for guiding and creating value.
- The government can support the AMA by guiding funds in a more efficient and effective manner to drive healthcare reform.

Moving from Assumptions to Implementation

- Establish a program focused on mapping the Jobs & Outcomes across the healthcare domain.
- Build a portfolio of unmet needs (opportunities) for improving value delivery to patients and practitioners.
- Establish a prioritization model to direct resources in an efficient manner.
- Create an open innovation framework using the opportunities to generate ideas that can address the most important (prioritized) unmet needs.
- Establish a shared revenue model as part of a collaborative to address these unmet needs.

Value Measurement Platform for Healthcare



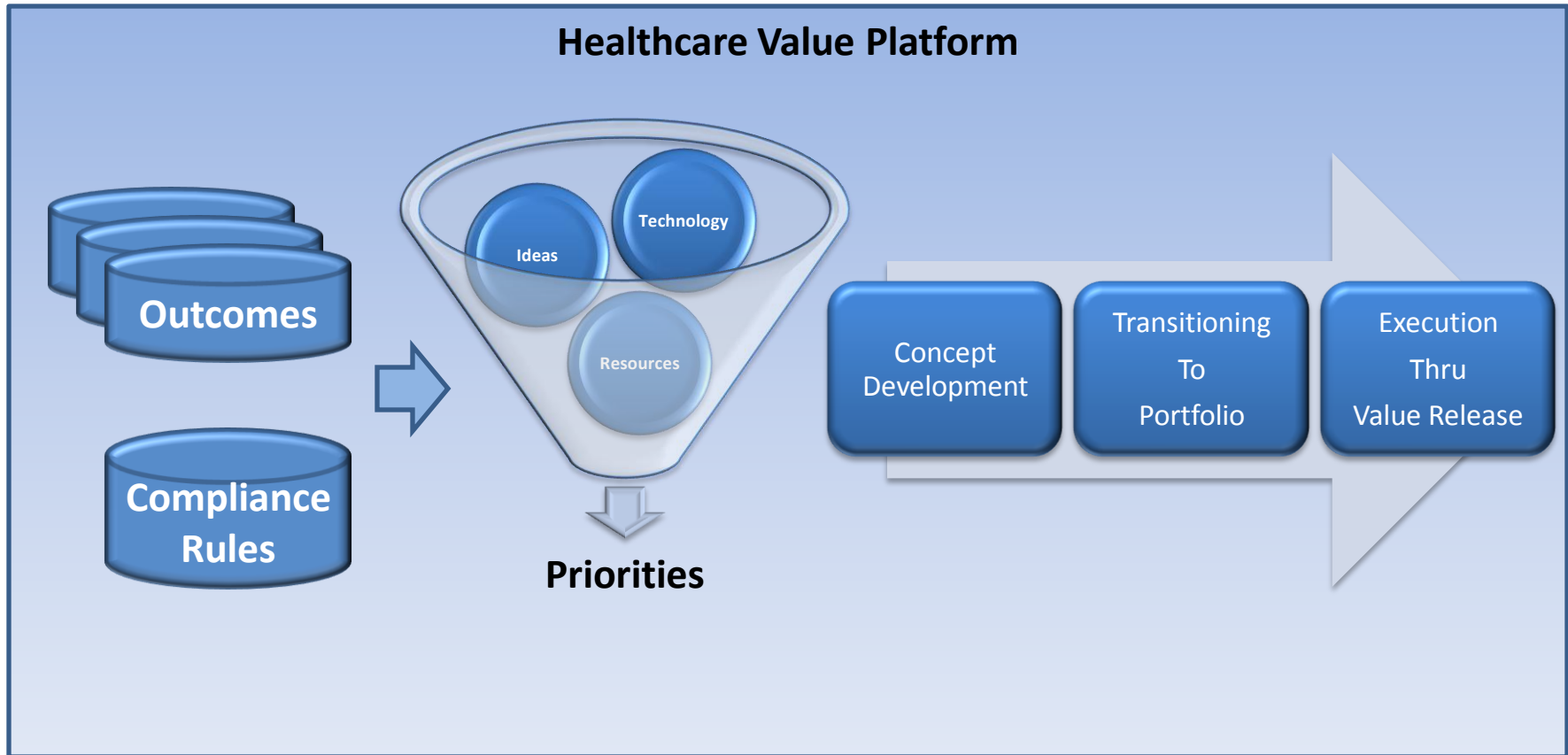
Value is measured through Outcomes => Outcomes are used to enable value

Measuring Value for Healthcare

- Build a portfolio of jobs & outcomes:
 - For measuring value.
 - For capturing customer* needs.
 - For guiding innovation.

- * The focus is on Patients and Providers in the Healthcare Value Network

Enabling Value for Healthcare



Efficient value delivery for transforming healthcare and driving value

Enabling Value for Healthcare

- Build an innovation portfolio to drive value by:
 - Creating a portfolio of outcomes that can be used by the 3 Ps to measure value.
 - Creating a portfolio of opportunities (IP).
 - Leveraging open innovation to create a portfolio of ideas to address unmet needs.
 - Engaging innovators in a collaborative effort to create new products and services to solve the most important needs in healthcare.
 - Aligning sustainable value delivery within a system of healthcare.

Engaging Providers & Innovators

- By identifying the priorities for healthcare upfront, the AMA can:
 - Reduce the risks for the upfront investments in new products and services.
 - Focus 3rd party resources in a more efficient manner.
 - Reduce the costs associated with investment planning.
 - Reduce the cycle time for bringing new value to address the most important needs in healthcare.

Engaging Providers & Innovators

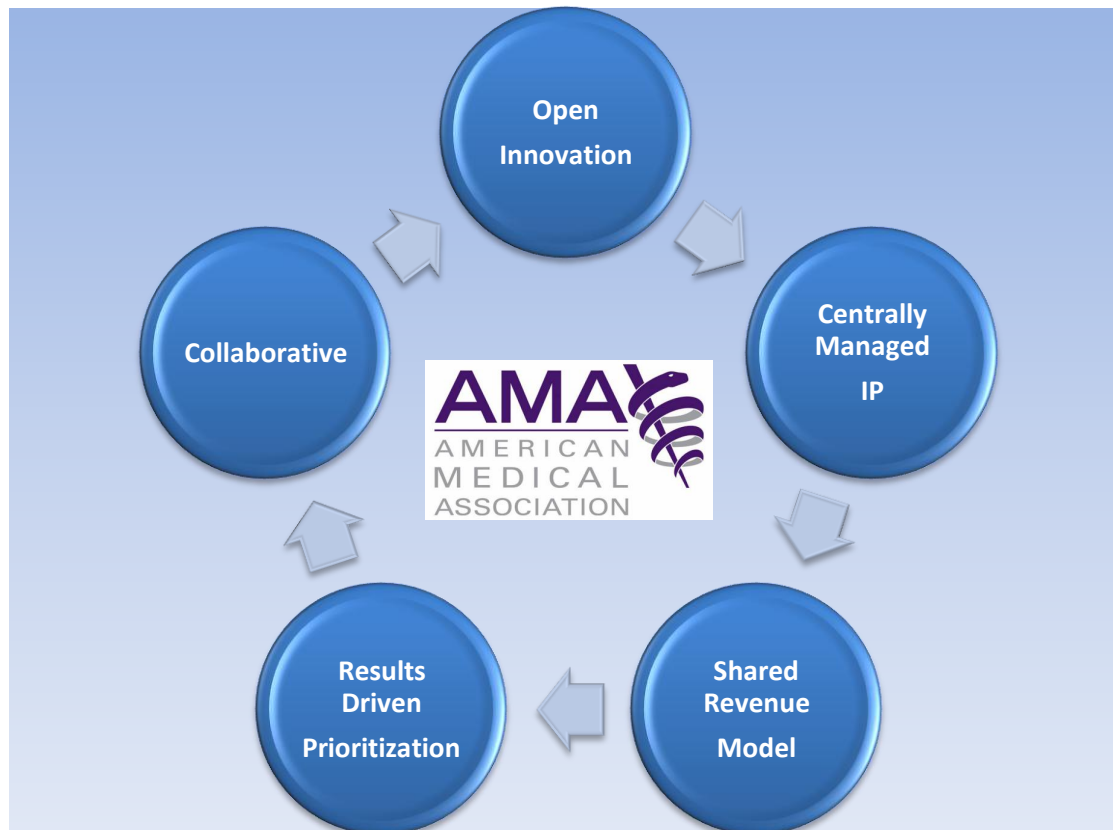
- By using a managed IP model, the AMA can:
 - Encourage open innovation to leverage mindshare across all disciplines to focus on solving the most important needs in healthcare.
 - Promote collaboration instead of competition to:
 - Bring new efficiencies to research and development of new products and services.
 - Reduce the costs and cycle time associated with bringing new products and services into the healthcare system.
 - To even the playing field for providers and innovators of all sizes to leverage their intellectual capital.

Reducing Costs & Driving Value

- Today....
 - Every company creates value based on their own perceived understanding of customer needs.
- Tomorrow...
 - The AMA can will be able to provide a beacon of truth and leadership to:
 - Understand customer needs throughout healthcare.
 - Efficiently guide the providers to build the right products and services to address the most important needs .
 - To deliver value to customers throughout the healthcare continuum.

Creating a New Business Model

- Provides new value creation
- Repositioned for leading healthcare change
- Relevant to all Providers, Practitioners, and Patients
- Provides thought leadership for guiding change and innovation



- Orchestrates a unified value network for delivering efficient, affordable, and accessible healthcare to meet the unmet needs of customers
- Ensures value can be measured, improved, and sustained

Positioning the AMA to Lead Healthcare Reform

